

ARM HOLDINGS PLC

(NASDAQ: ARM)

Wonderful Business, Bubble Price — the Royalty Machine at 52x Sales

SELL — \$48.00 Target

Equity Research Note · Technology — Semiconductors (IP Licensing) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$48.00	\$307.49	-84.4%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$313.6 bn (~1.03 bn dil. ADS x \$307.49)	FY26 revenue / royalty / license	\$4.92 bn / \$2.61 bn / \$2.31 bn
Enterprise value	~\$309.7 bn	Trailing P/E	~300x
Net cash	~\$3.9 bn	ACV / RPO	\$1.73 bn (+13%) / \$2.07 bn (-7%)
52-week range	~\$100.02 - \$452.70	Beta	3.78
YTD / 1-yr return	+181% / +101%	Next catalyst	Q2 FYE27 (Nov 4); Qualcomm trial (Oct 5)

1 Investment Thesis

We rate Arm SELL with a \$48 price target, -84.3% below the \$307.49 quote. This is not a call on the business, which is wonderful — 98% gross margins, 350 billion chips shipped, the instruction set inside nearly every smartphone on earth, and now the CPU architecture of the hyperscalers' custom AI silicon. It is a call on the price. At \$307.49 the market values Arm at roughly 52x forward sales and ~300x trailing earnings. Our 10-year scenario DCF — bear \$17.12 / base \$46.34 / bull \$82.73, weighted 25/50/25 — says even the bull case sits 73% below the quote. Reverse-engineering the price: it demands roughly \$290 billion of FYE36 revenue, about twelve times the company's own \$25 billion FYE31 bull plan and nearly sixty times this year's revenue. No plausible operating outcome bridges that gap.

The temptation is to grant Arm a hypergrowth pass: AI is real, data-center royalties more than doubled last quarter, and the new AGI CPU chip — co-developed with Meta — has demand exceeding supply. We tested that temptation against the demand evidence and it fails, for a structural reason: Arm is an IP licensor, not a shovel-seller. Royalty revenue is earned when customers ship chips; there is no contracted chip backlog, no allocation queue, no take-or-pay volume. Arm's own remaining performance obligations were \$2.07 billion — about 4.4 months of guided revenue, down 7% year over year — and the company has stopped reporting the metric, calling it 'less relevant to our growth.' A hypergrowth regime requires verifiable contracted demand covering well over a year of revenue; Arm has roughly a third of a year, shrinking. So years 1–3 are modeled at scenario growth rates with full skepticism, not at guidance: base 16.1% CAGR, bull 20.7% (which already haircuts the \$25 billion FYE31 plan by cutting its \$15 billion CPU contribution to \$8 billion).

The chart is the whole argument: the current price is off the scale of every scenario. In the bear case — handset softness, RISC-V share loss, an adverse Qualcomm outcome — revenue compounds 5.3% to \$9.4 billion and the equity is worth \$17.12; the bear sits 94% below the quote, as the rules require a bear that hurts. In the base case — Neoverse/CSS mix drives 16.1% compounding to \$24.9 billion of FYE36 revenue at 30% FCF margins — fair value is \$46.34. In the bull case — 20.7% compounding to \$36.8 billion, AGI CPU ramping to plan — \$82.73. Terminal value is 56% of base-case EV (no haircut required). The weighted \$48.13 rounds to the \$48 target.

Cross-checks confirm the direction. Reverse DCF: justifying \$307.49 at a 12% discount requires roughly \$290 billion of FYE36 revenue — growing at ~49% a year for a decade, a pace no IP licensor has ever sustained. Multiples: ~52x forward sales and ~300x trailing earnings price Arm as if royalties were software subscriptions; they are cyclical, per-unit, and hostage to other companies' shipment volumes. Arm is a wonderful business and a terrible stock at \$307.49. Do not own this above \$100.

Why the business is wonderful — and why the price is the problem

- **The royalty flywheel is the best in semiconductors.** License fees today become per-unit royalties for the 20-year life of a chip family. Armv9 and Compute Subsystems carry higher royalty rates per chip than v8, so mix — not just units — drives royalty growth. Q1 FYE27: royalty revenue +22% to \$715 million, license +23% to \$574 million, both quarterly records.
- **Data center is genuinely inflecting.** Data-center royalty revenue more than doubled year over year as Arm Neoverse adoption accelerated. The hyperscalers' custom CPUs — AWS Graviton, Google Axion, Microsoft Cobalt — are Arm-based, and the AGI CPU co-developed with Meta carries more than \$2 billion of customer demand across FYE27–28.
- **The Qualcomm trial starts October 5 — a live binary.** Qualcomm, one of Arm's largest royalty payers, alleges Arm breached its architecture license agreement; Arm disputes it. An adverse outcome threatens both a major royalty stream and the pricing power of the ALA program itself. This binary is unpriced at 300x earnings — and a favorable outcome is the clearest near-term upside risk to this SELL.
- **RISC-V is a slow bleed, not a sudden death.** The open ISA keeps winning sockets at the low end and in China, capping Arm's pricing power exactly where unit growth is fastest.

2 Business Overview — What Arm Holdings plc Is Doing

(Cambridge, United Kingdom)

Arm Holdings (founded 1990, Cambridge, UK; re-listed on Nasdaq in September 2023; majority-owned by SoftBank) does not sell chips. It licenses processor IP — CPU designs, the Arm instruction-set architecture, and increasingly full Compute Subsystems — to ~1,000 semiconductor partners, collecting an upfront license fee and then a per-unit royalty on substantially every chip shipped with Arm technology inside. Two revenue lines: royalty revenue (\$2.613 billion in FY2026), driven by chip volumes and the mix shift to higher-rate Armv9/CSS designs; and license and other revenue (\$2.307 billion in FY2026), driven by new architecture licenses and backlog conversion. Annualized contract value was \$1.73 billion, +13% year over year.

Fiscal 2026 (ended March 31, 2026) was a record: \$4.92 billion of revenue, +23% year over year, non-GAAP diluted EPS of \$1.77, non-GAAP free cash flow of \$882 million. Q1 FYE27 (June quarter) set another record at \$1.289 billion (+22%), with non-GAAP operating margin near 41%. The strategic pivot underway is from pure IP to production silicon: the AGI CPU, Arm's first own chip for cloud AI data centers, co-developed with Meta, with demand 'much higher than supply.' What Arm is not: it has no fabs, no chip inventory, and no order backlog in the semiconductor sense. Royalty revenue lags the capex cycle by design — Arm collects its few-dollars-per-socket royalty when the custom CPUs beside NVIDIA's and Broadcom's accelerators ship. Leverage to the AI buildout is real but derivative and lagged.

What the company is doing now

- **350 billion chips shipped; the ecosystem moat is unassailable.** Cumulative Arm-based shipments passed 350 billion in March 2026. Software toolchains, foundry enablement, and two decades of design wins compound into switching costs no open ISA can replicate quickly.
- **Fortress balance sheet, 98% gross margins.** ~\$3.9 billion of cash and short-term investments, negligible debt, GAAP gross margin 97.9%.
- **The x86 duopoly still owns the socket Arm is attacking.** Neoverse's share gains are real but start from a small base; Intel and AMD are counter-attacking with custom-silicon programs of their own.
- **SoftBank overhang and Arm China.** Majority ownership and the related-party China structure remain governance discounts the market applies intermittently — and with a beta of 3.78, this stock falls 3–4x as fast as the market when AI sentiment wobbles.

3 Financial Analysis

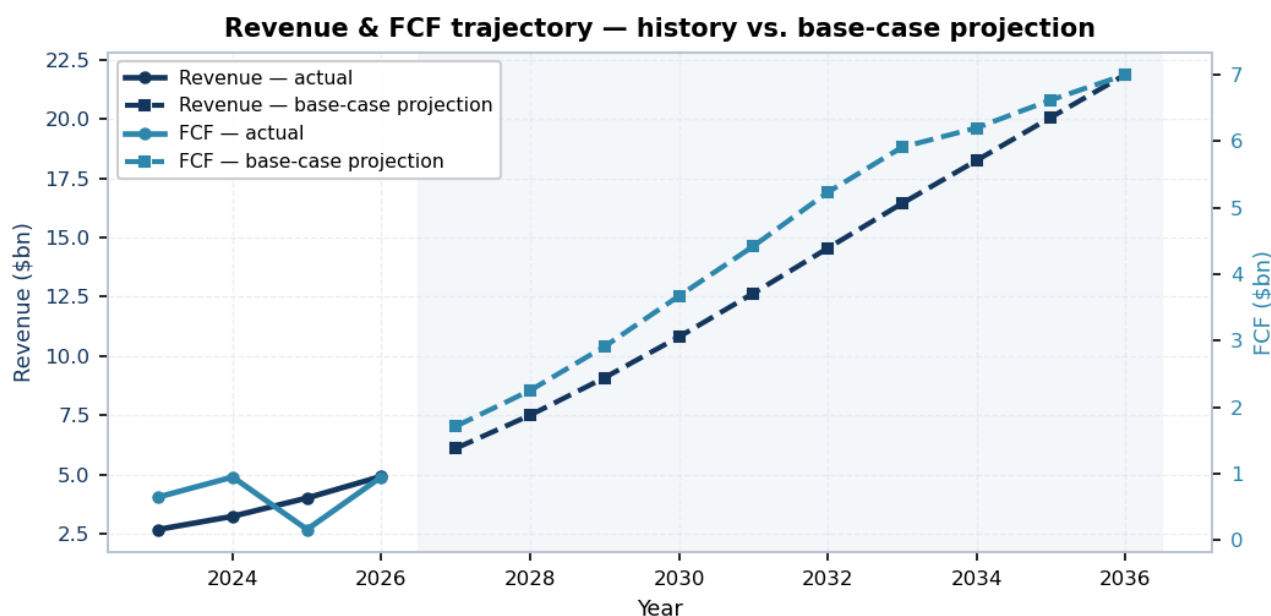
\$ bn	FY2024	FY2025	FY2026
Revenue	3.233	4.007	4.920
Royalty revenue	—	—	2.613
License & other	—	—	2.307
Net income	0.306	0.792	0.904
Free cash flow	0.947	0.158	0.949

Source: company filings via yfinance; fiscal year ends March 31. Royalty/license split per FY2026 20-F.

Revenue grew from \$2.68 billion in FY2023 to \$4.92 billion in FY2026 — an 83% increase in three years — while net income rose from \$524 million to \$904 million. Free cash flow, however, is lumpy (\$646 million, \$947 million, \$158 million, \$949 million), reflecting the working-capital and investment rhythms of the licensing model rather than any deterioration.

The P&L quality is exceptional — 97.9% gross margins, ~41% non-GAAP operating margin even while R&D investment runs +33% — which is precisely why the business deserves admiration and the stock deserves a SELL. At 300x trailing earnings, every dollar of royalty is priced as though it were already collected for the next decade.

Revenue & cash-flow trajectory

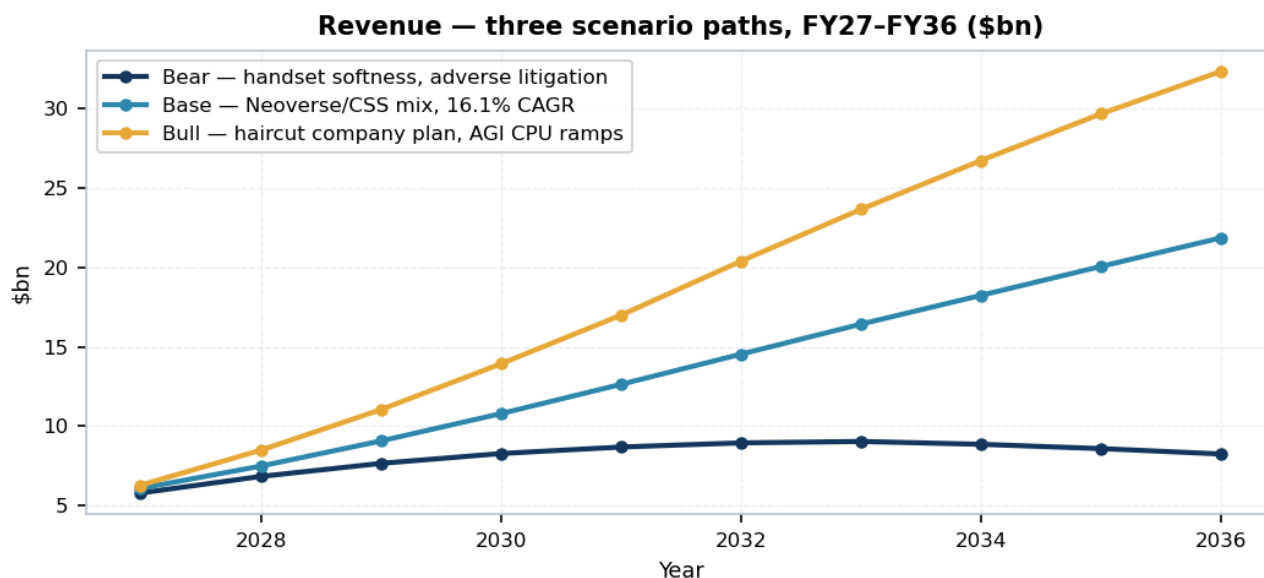


History: company filings via yfinance; fiscal year ends March 31. Projection: base-case path from this note's scenario DCF (16.1% revenue CAGR, FCF margins normalizing to 30%).

4 Moat & Competition

- **Wide in mobile/embedded — ecosystem, toolchains, 350-billion-unit installed base.** Switching costs no open ISA can replicate quickly; this is the durable core of the franchise.
- **Narrowing at the edges.** RISC-V and in-house ISAs compete exactly where the marginal unit growth lives — embedded, IoT, and China — capping take-rate expansion.
- **A complement, not a competitor, to NVIDIA.** In AI accelerators Arm rides alongside someone else's cycle — leverage to the AI buildout that is real but derivative, lagged, and hostage to another company's shipment volumes.
- **The moat does not justify 52x sales.** Wide moats command premium multiples; ~52x forward sales and ~300x trailing earnings price a scarcity premium on 'AI CPU exposure' with no earnings anchor.

Revenue — three scenario paths, FY27–FY36 (\$bn)



5 Valuation — 10-year scenario FCFF DCF, Fair Value \$48

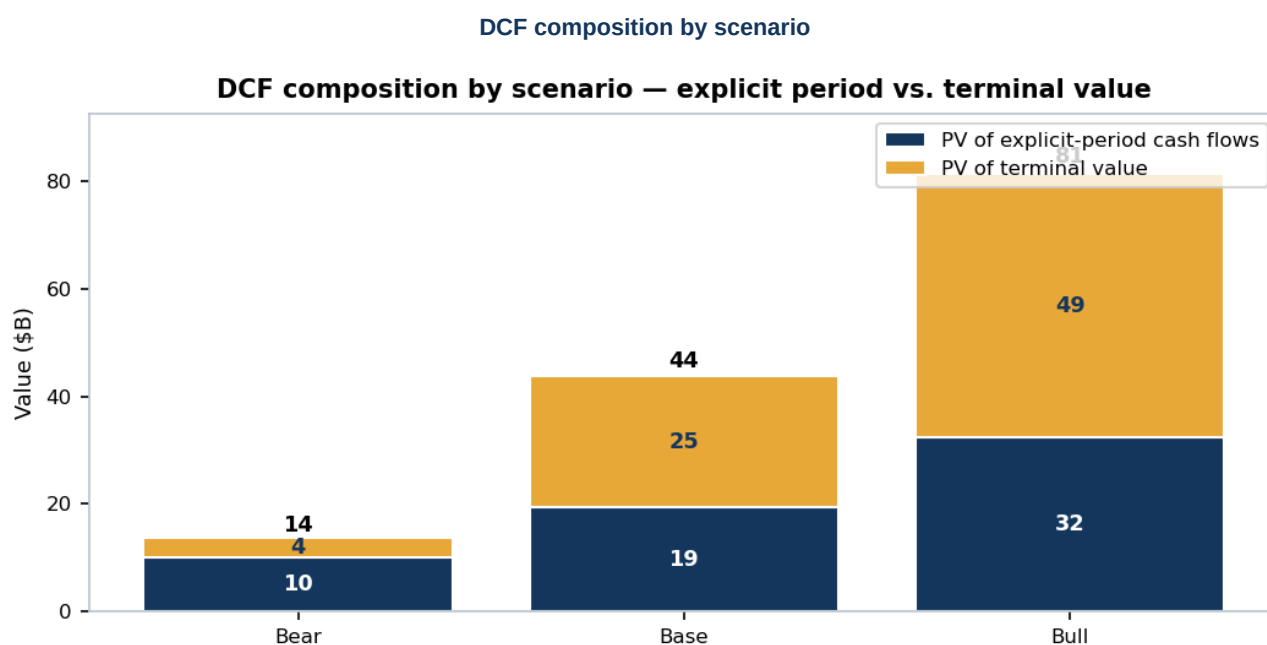
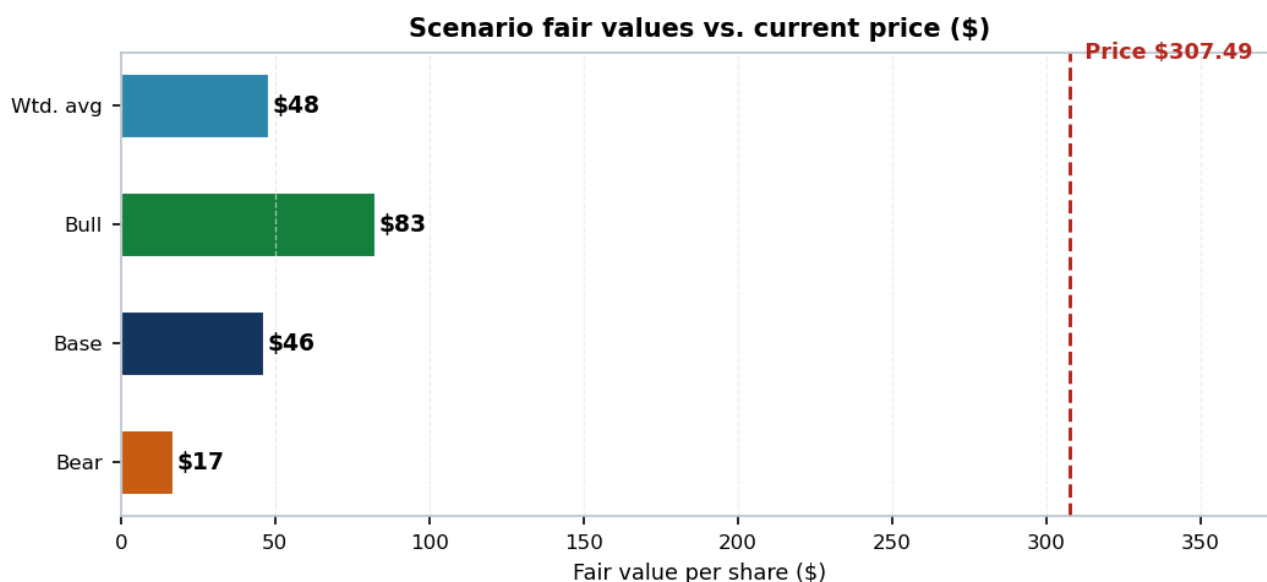
Ten-year explicit free-cash-flow DCF, weights bear 25% / base 50% / bull 25%. The discount structure is priced for the risk: base 12.0% (beta 3.78, the Qualcomm litigation binary, RISC-V encroachment, SoftBank/Arm-China related parties), bear 14.5% (base + 250bp), bull 10.5% (base – 150bp). Terminal growth is capped at 1.0% / 2.0% / 2.5% on year-10 free cash flow at normalized margins — never peak margins. Equity = firm EV plus \$3.9 billion of net cash, over ~1.03 billion diluted ADS.

Crucially, the model grants no hypergrowth exemption: the demand evidence does not support it (RPO of \$2.07 billion is ~4.4 months of guided revenue, down 7% year over year, and the company has discontinued the disclosure), so years 1–3 grow at scenario rates with full skepticism, and the bull case already haircuts the \$25 billion FYE31 plan. The bear case meets the hurt conditions and sits 94% below the current price.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Handset softness; RISC-V share gains; adverse Qualcomm outcome weakens ALA pricing; revenue peaks in FY33 then declines; FCF margin 25% at yr-10	+5.3%	25%	14.5% / 1.0%	27%	\$17.12
Base	Neoverse/CSS mix compounds ~20% early, fading to ~9% by yr-10; CPU a modest second vector; FYE36 revenue \$24.9 bn at 30% FCF margins	+16.1%	30%	12.0% / 2.0%	56%	\$46.34
Bull	Haircut of the company plan (~\$17 bn by FYE31), then fades to 9%; AGI CPU ramps to plan; FYE36 revenue \$36.8 bn at 31% FCF margins	+20.7%	31%	10.5% / 2.5%	60%	\$82.73
Wtd. avg	Probability-weighted (25/50/25) → \$48.00 target					\$48.00

Scenario FVs from the note's model (bear \$17.12 / base \$46.34 / bull \$82.73); weighted \$48.13, rounded to the \$48 target. PV splits in \$B; base-case terminal value is 56% of EV (no haircut required).

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$B. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Qualcomm litigation (trial begins October 5, 2026).** An adverse ruling could impair a top royalty stream and reset ALA pricing power downward; a favorable one is the clearest near-term upside catalyst and the main risk to this SELL.
- **RISC-V encroachment.** Royalty-free ISAs keep winning embedded, IoT, and China sockets — the highest-unit-growth segments — pressuring Arm's take rate over time.
- **Handset cycle.** Smartphones remain the largest royalty base; elevated memory prices are pressuring device volumes and near-term royalty growth.
- **AI-sentiment beta.** At beta 3.78 and 300x earnings, any wobble in AI capex sentiment reprices the stock violently.

- **Production-silicon execution.** The AGI CPU moves Arm from licensing IP to competing with its own customers' chip programs; 'demand exceeding supply' must convert to shipped, royalty-bearing volume.

What would change our mind

We would void the SELL on FYE36 revenue tracking at or above \$24 billion with free-cash-flow margins at or above 34% — sustained top-of-bull execution for a decade — or a decisive Qualcomm victory that reprices ALA royalty rates structurally upward. Until the litigation resolves, there is no reason to pay 52x sales for a cyclical royalty stream.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.